Amkor Technology (AMKR)

The Advanced Packaging Reinvestment Cycle Sets the Inflection

ANALYST: JUSTIN WEN | OCTOBER 14, 2026

> Market apprehension regarding near-term cash burn and elevated capital intensity overlooks the structural margin expansion underway across Amkor Technology's outsourced assembly and test operations. Operational execution across high-density fan-out and 2.5D platforms is driving gross margins toward record territory as premium smartphone and computing lines ramp. While headline free cash flow reflects front-loaded outlays for domestic and international capacity additions, underlying operating leverage confirms the durability of the multi-year cycle. We establish a probability-weighted blended target price of $49.60, representing an upside of +18.6% from the reference spot price of $41.81, and initiate coverage with a Buy rating.

BUY	$49.60	+18.6%	$41.81
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The consensus remains overly focused on the near-term cash flow cliff created by the Arizona campus and advanced packaging build-out. What the broader market discounts is that this historic capital cycle directly locks in long-term assembly volume with tier-one chipmakers, transforming the earnings power of the business once high-density capacity fully scales.

EXECUTIVE SUMMARY

Amkor Technology operates as an outsourced chip assembly and test (OSAT) company that packages semiconductors for major chipmakers worldwide. The company sits at the critical physical nexus of the semiconductor value chain, converting processed silicon wafers into finished, protected, and interconnected microelectronic devices. Its operational footprint spans advanced packaging architectures, including 2.5D integration and high-density fan-out (HDFO), alongside mainstream packaging solutions across key end markets such as communications, automotive and industrial, computing, and consumer electronics. The shift toward heterogeneous integration and advanced packaging has materially elevated Amkor's role from a conventional back-end vendor to an indispensable manufacturing partner for leading semiconductor fabricators and fabless designers.

The recent quarterly operational record exhibits accelerating top-line momentum and powerful operating leverage, countering broader market cyclicality. In Q2 FY2026, Amkor delivered record net sales of $1.898 billion, representing a 26% year-over-year expansion, with gross margin expanding 480 basis points to 16.8% and net income surging 222% to $174 million ($0.70 per diluted share). Advanced products represented $1.557 billion or 82% of total sales

during the period, up 27% year-over-year. This performance followed a strong Q1 FY2026, where revenue surged 27% year-over-year to $1.685 billion, operating margin expanded to 6.0% from 2.4% in the prior year, and diluted EPS tripled to $0.33. Management guidance for Q3 FY2026 targets net revenue near $2.0 billion with gross margin breaking 19%, demonstrating that the advanced packaging product mix is driving structural profitability enhancements across the enterprise.

Capital allocation is currently defined by a major multi-year investment phase designed to secure domestic packaging leadership and expand high-density packaging footprint. In FY2025, Amkor generated $6.71 billion in revenue, $938.6 million in gross profit (14.0% margin), $467.4 million in operating income (7.0% margin), and $373.9 million in net income ($1.50 per diluted share), while producing free cash flow of $191.0 million. Net debt stood at $182.6 million at the end of FY2025, supported by $1.38 billion in cash reserves against total debt of $1.56 billion. However, management has initiated an unprecedented $2.5 billion to $3.0 billion capital expenditure program for FY2026, targeted at expanding the Arizona campus, which represents a total planned investment of $7 billion, alongside dedicated HDFO lines. This aggressive spending resulted in H1 FY2026 free cash flow of -$307 million on $688 million of first-half capital expenditures, following -$79 million of free cash flow in Q1 FY2026. While this front-loaded reinvestment suppresses trailing cash conversion, it reinforces Amkor's strategic relevance in leading-edge packaging supply chains.

OPERATIONAL SNAPSHOT

$41.81	$6.71B	$191.0M	2.8%	1.30	$41.81
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS CAPITAL-INTENSIVE AND TECHNOLOGICALLY-ENTRENCHED

Amkor's competitive moat is founded upon high technological switching costs and an entrenched position within customer product development lifecycles. As semiconductor scaling increasingly relies on advanced packaging architectures rather than traditional silicon node shrinks, the assembly and test process requires co-design integration at the earliest stages of chip layout. Major chipmakers cannot easily displace an established packaging partner without risking severe yield penalties, multi-quarter qualification delays, and production disruptions. In high-density fan-out (HDFO) and 2.5D platforms, where revenue is projected to nearly triple in 2026, the micro-pitch interconnects and thermal dissipation solutions create formidable process barriers that smaller or less specialized back-end vendors cannot replicate.

The scale of capital expenditure required to compete at the leading edge serves as an insurmountable barrier to new market entrants. Amkor's commitment to deploy between $2.5 billion and $3.0 billion in capital expenditures in FY2026 alone, including the $7 billion Arizona campus development, establishes physical packaging infrastructure that few global peers can match. Packaging facilities must comply with stringent cleanroom standards, proprietary testing flows, and automated inspection protocols. For global semiconductor leaders seeking secure, localized, and

resilient manufacturing capacity, Amkor provides an operational footprint capable of handling complex multichip modules at commercial volume, effectively locking in long-term customer relationships across high-performance computing and premium mobile segments.

Customer retention is further buttressed by prolonged qualification and certification timelines, particularly within the automotive and industrial sectors. Automotive chip packaging requires zero-defect manufacturing standards and validation cycles that span multiple years. Amkor's automotive and industrial revenue demonstrated strong cyclical recovery, rising 22% year-over-year in Q4 FY2025 and 38% year-over-year in Q2 FY2026 to reach record levels. Once an outsourced assembly and test line is validated by tier-one automotive suppliers and their semiconductor providers, operational stickiness is sustained across the multi-year production lifetime of the underlying vehicle platform. This dual exposure to high-velocity mobile product cycles and sticky automotive architectures creates a durable, defensible franchise.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework evaluates Amkor through an explicit discounted cash flow model spanning FY2026 through FY2030, discounted using a live weighted average cost of capital (WACC) of 8.74% and incorporating an equity beta of 1.30. The model explicitly accounts for the company's 250.0 million diluted shares and reflects the trajectory of the ongoing capital investment program. We evaluate the enterprise through three distinct operating scenarios to capture the range of outcomes associated with customer adoption of advanced packaging, capital intensity, and margin realization.

In our base case scenario, Amkor compounds revenue at a 10.0% compound annual growth rate (CAGR) through FY2030, reaching a normalized target free cash flow margin of 9.0% in the terminal forecast year as capital outlays normalize and high-density packaging lines achieve optimal utilization. We apply a conservative terminal growth rate of 2.0%, yielding a base target price of $49.18, representing +17.6% upside from the reference spot price of $41.81. This baseline reflects steady execution on Arizona and HDFO expansions, sustained strength in communications, and continued cyclical recovery in automotive and industrial end markets.

Across the distribution, the bear case models a decelerating 4.0% revenue CAGR and a compressed 6.0% target free cash flow margin, reflecting sustained cash burn, high front-loaded depreciation headwinds, and prolonged weakness in consumer electronics, generating a target price of $26.39 (-36.9% downside). Conversely, our bull case envisions a 16.0% revenue CAGR paired with an 11.0% target free cash flow margin, driven by the rapid scaling of 2.5D and HDFO platforms, pushing the valuation to $73.65 (+76.2% upside). Weighting these outcomes 25% bear, 50% base, and 25% bull produces a blended price target of $49.60, implying an aggregate expected return of +18.6%.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	4.0%	6.0%	$26.39	-36.9%
Base	50%	10.0%	9.0%	$49.18	+17.6%

Bull	25%	16.0%	11.0%	$73.65	+76.2%

Bear $26.39

A prolonged downturn in consumer demand paired with high depreciation from front-loaded equipment purchases compresses margins before Arizona fully ramps. Capital expenditure overruns and customer qualification delays suppress normalized free cash flow margins to 6.0% on a 4.0% top-line CAGR, dragging equity value down to $26.39.

Base $49.18

Execution remains consistent with management targets as advanced packaging product mix expands and the Vietnam facility operates past breakeven. Revenue compounds at a 10.0% CAGR through FY2030, with operating leverage supporting a normalized 9.0% target free cash flow margin, establishing a fair value of $49.18.

Bull $73.65

AI packaging demand accelerates dramatically, tripling 2.5D and HDFO revenue while communications and computing maintain robust seasonal strength. Utilization across new Arizona lines scales rapidly, driving top-line growth to a 16.0% CAGR and expanding free cash flow margins to 11.0%, delivering a target price of $73.65.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We deploy an 8.74% weighted average cost of capital as the primary hurdle rate across all three scenario models. This discount rate incorporates an equity beta input of 1.30, capturing Amkor's sensitivity to broad semiconductor manufacturing cycles, operating leverage, and capital expenditure swings. In our quantitative framework, this beta reflects the underlying risk profile of an asset-heavy OSAT provider navigating a significant balance sheet reinvestment phase while maintaining market-share leadership with major chipmakers.

An 8.74% WACC appropriately penalizes near-term free cash flow deficits while recognizing the stability provided by Amkor's $1.38 billion cash balance and manageable net debt of $182.6 million as of FY2025. By maintaining an explicit WACC across the forecast window from FY2026 to FY2030, we ensure that the capital-intensive nature of the $2.5 billion to $3.0 billion FY2026 capex cycle is rigorously evaluated against the long-term cash generation of the resulting asset base.

FCF margin normalization is the engine

Free cash flow margin evolution serves as the core operational differentiator across our valuation scenarios. In FY2025, Amkor generated $191.0 million in free cash flow on $6.71 billion of revenue, translating to a reported FCF margin of

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.74% (2026-10-20)**
Terminal growth	**2.0%**
Equity beta	**1.30**
Diluted shares	**250.0 million**

BUY

over $49.60 blended target

2.8%. During H1 FY2026, free cash flow shifted to -$307 million on $688 million of capital outlays, reflecting the early stages of the $2.5 billion to $3.0 billion capex commitment. Our valuation bridge models the transition from this hyper-investment phase toward structural cash conversion as new capacity is monetized.

Our long-term targets assume that as packaging lines fill and utilization reaches steady-state thresholds, capital expenditures normalize back toward sustainable maintenance and expansion levels. Under our base case, FCF margin expands to 9.0% by FY2030, driven by the high gross margin profile of advanced packaging, which expanded to 16.8% in Q2 FY2026 and is guided near 19% for Q3 FY2026. In the bull case, operating leverage lifts terminal FCF margins to 11.0%, while the bear case assumes that persistent depreciation charges and equipment additions cap cash conversion at 6.0%.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Advanced Packaging Platforms and Communications Volume BUY

Amkor's operational growth is primarily steered by the adoption of its advanced products, which encompass 2.5D integration, high-density fan-out (HDFO), and sophisticated system-in-package solutions. In Q2 FY2026, advanced packaging accounted for $1.557 billion, or 82% of total net sales, expanding 27% year-over-year. This followed Q1 FY2026 advanced product sales of $1.37 billion, representing 81% of net sales and a 29% year-over-year increase. Management projects that revenue from 2.5D and HDFO platforms will nearly triple in 2026, driven by intense demand for artificial intelligence and high-performance computing applications that require high interconnect density and thermal efficiency.

The communications end market remains Amkor's largest single exposure, functioning as a vital growth engine supported by premium smartphone manufacturing cycles. Communications revenue demonstrated substantial strength in recent quarters, surging 29% year-over-year in Q4 FY2025, climbing 40% year-over-year in Q1 FY2026

on premium smartphone content, and expanding approximately 32% year-over-year in Q2 FY2026. This segment is characterized by sharp seasonal ramps, as evidenced in Q3 FY2025 when communications revenue expanded 67% sequentially to support a premium smartphone launch, elevating total company revenue to $1.987 billion.

Simultaneously, the automotive and industrial category has moved past its cyclical trough, providing valuable end-market diversification. Automotive and industrial sales inflected in Q4 FY2025, rising 18% sequentially and 22% year-over-year, before advancing approximately 38% year-over-year in Q2 FY2026 to achieve record revenue levels alongside the computing business. In contrast, the consumer segment has faced persistent cyclical headwinds, contracting 5% year-over-year in Q3 FY2025, dropping 10% year-over-year in Q4 FY2025, and remaining the sole contracting end market in Q2 FY2026 with a 2.5% year-over-year decline.

Operational execution across international and domestic facilities is transforming the cost structure. The Vietnam manufacturing facility has successfully moved past breakeven, contributing to operating margin expansion to 6.0% in Q1 FY2026 compared to 2.4% in the prior-year period. In parallel, Amkor has raised its planned investment in the Arizona campus to $7 billion, establishing an essential domestic packaging anchor to serve major chipmakers requiring localized advanced packaging within the United States.

What to monitor

- **Arizona Campus Execution** Track construction milestones, equipment delivery schedules, and spending trajectories within the expanded $7 billion total investment plan.
- **FY2026 Capex Absorbance** Monitor whether full-year capital expenditures remain within the guided $2.5 billion to $3.0 billion corridor relative to operating cash flows.
- **Advanced Packaging Adoption** Observe the pace of 2.5D and HDFO revenue expansion against management's expectation of nearly tripling in 2026.
- **Consumer Segment Inflection** Assess whether consumer end-market revenue stabilizes following sequential contraction through Q2 FY2026.

+6.2%	14.0%	7.0%	2.8%	$182.6M	8.4%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$6.71B
Gross Profit	$938.6M
EBIT	$467.4M
Net Income	$373.9M
EBITDA	$1.16B
Free Cash Flow	$191.0M

Diluted EPS	$1.50
ROE	8.4%

RISK & MOAT MATRIX

The bear case

REINVESTMENT TREADMILL

The aggressive expansion into Arizona and HDFO requires $2.5 billion to $3.0 billion in FY2026 capex, which exceeded 35% of annualized revenue in Q1 FY2026. This massive capital intensity resulted in H1 FY2026 free cash flow of -$307 million, introducing substantial cash burn risk if industry demand softens.

TECHNOLOGY DISRUPTION

Front-loaded equipment purchases lift depreciation expenses throughout the second half of FY2026. This rising fixed-cost baseline could compress underlying gross margins if advanced packaging capacity ramps slower than expected.

SHARE EROSION

The consumer end market has demonstrated protracted weakness, contracting 10% year-over-year in Q4 FY2025 and 2.5% in Q2 FY2026. Continued softness in consumer electronics could limit overall volume absorption across conventional packaging lines.

REGULATORY AND PRICING SCRUTINY

Underlying packaging margins showed vulnerability in Q3 FY2025, where Q4 guidance revealed underlying gross margin compression to approximately 12.9% excluding a $30 million asset-sale benefit. High fixed costs can swiftly erode operating margin if packaging pricing faces customer pushback.

M&A DIGESTION

Executing large-scale organic infrastructure expansions across diverse geographies, including scaling the Vietnam facility past breakeven while committing $7 billion to Arizona, strains operational bandwidth. Any operational misstep could inflate overhead and dilute expected margin expansion.

WACC AND DURATION SENSITIVITY

With an equity beta of 1.30 and an 8.74% WACC, Amkor's valuation is sensitive to cost-of-capital fluctuations. Sustained periods of negative free cash flow increase the equity duration, exposing the stock to valuation contractions under macroeconomic volatility.

The strengths

OLIGOPOLY POSITION

Amkor commands a premier position as an

FCF COMPOUNDING

Operating leverage is proven by Q2 FY2026

GEOGRAPHIC DURABILITY

PIPELINE OPTIONALITY

OSAT leader packaging chips for top global semiconductor fabricators. In Q2 FY2026, advanced packaging accounted for 82% of sales, highlighting customer reliance on its advanced lines.

gross margins ripping to 16.8%, up 480 basis points year-over-year, with Q3 FY2026 guidance pointing toward 19%. This structural margin uplift underpins our base case 9.0% normalized FCF margin target.

The strategic deployment of the $7 billion Arizona campus positions Amkor as a core domestic packaging provider in the United States. Coupled with operational success in Vietnam, Amkor maintains a resilient, diversified global manufacturing footprint.

The anticipated tripling of 2.5D and HDFO revenue in 2026 positions Amkor at the center of artificial intelligence and computing packaging growth. Record sales across computing and automotive in Q2 FY2026 confirm expanding pipeline traction.

The bottom line on risk and reward

Amkor Technology presents an attractive risk-reward profile for long-term institutional investors. While the market remains hesitant in the face of an annualized capital expenditure run rate between $2.5 billion and $3.0 billion and the resulting -$307 million in H1 FY2026 free cash flow, the underlying earnings power of the business is expanding. Operating margins reached 6.0% in Q1 FY2026, up from 2.4% in the prior-year period, while gross margins advanced 480 basis points to 16.8% in Q2 FY2026, accompanied by guidance breaking 19% for Q3 FY2026.

The company's strong balance sheet, which held $1.38 billion in cash against $1.56 billion in total debt at the end of FY2025, provides ample cushion to absorb the ongoing capital outlays required for the Arizona campus and HDFO manufacturing lines. As these advanced packaging facilities reach higher utilization levels, the business is well-positioned to convert top-line growth into durable cash generation.

Synthesizing these dynamics across our probability-weighted valuation framework, our blended target price of $49.60 implies +18.6% upside from the reference spot price of $41.81. With downside contained at $26.39 in a bear scenario and upside reaching $73.65 in a bull scenario, the risk-adjusted return profile solidly supports our Buy recommendation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Advanced Packaging: The Strategic Vector for Heterogeneous Integration

Amkor's advanced packaging business represents the primary growth engine of the enterprise, accounting for $1.557 billion or 82% of total sales in Q2 FY2026, following $1.37 billion or 81% of sales in Q1 FY2026. This portfolio encompasses leading-edge packaging architectures including 2.5D multi-die modules and high-density fan-out (HDFO) platforms. As semiconductor fabricators confront the economic and physical constraints of monolithic silicon dies, the industry has migrated toward advanced packaging architectures that combine multiple specialized chiplets into single high-performance systems. Amkor has positioned itself as an indispensable outsourced assembly partner capable of executing these high-complexity configurations at commercial volume.

The operational trajectory of this franchise is illustrated by the anticipated tripling of 2.5D and HDFO platform revenue in 2026. These platforms cater directly to artificial intelligence and high-performance computing requirements, which demand extreme interconnect densities and low-latency communication between compute cores and memory. The technical complexity inherent in assembling these systems translates into superior pricing power and structural margin expansion, as evidenced by gross margins reaching 16.8% in Q2 FY2026 and guidance pointing to approximately 19% for Q3 FY2026.

To support this structural shift, Amkor is executing an ambitious expansion program anchored by its Arizona campus, where total planned investment has been increased to $7 billion. This facility is engineered to provide advanced packaging capabilities within the United States, aligning with semiconductor fabricators establishing domestic foundry operations. While the initial capital commitment of $2.5 billion to $3.0 billion in FY2026 introduces short-term cash flow deficits, it establishes long-term customer lock-in for critical communications and computing programs.

What the recent record shows

- Advanced packaging sales reached $1.557 billion in Q2 FY2026, representing 82% of total company revenue and growing 27% year-over-year.
- Management anticipates revenue from 2.5D and HDFO packaging platforms will nearly triple over the course of 2026, underpinned by robust AI demand.
- The Arizona packaging campus represents an expanded $7 billion total investment initiative, establishing leading domestic packaging capacity.
- Gross margins expanded 480 basis points year-over-year to 16.8% in Q2 FY2026, with Q3 guidance projecting gross margins breaking 19% as advanced lines achieve higher utilization.

Our read: Amkor's advanced packaging platform is successfully decoupling the company from traditional back-end cyclicality. While the capital investment phase is front-loaded, the sustained gross margin expansion confirms that advanced packaging demand is structurally realigning the company's long-term earnings profile.